Q1 Wage Price Index: public wages moderate

#wages #inflation #labour

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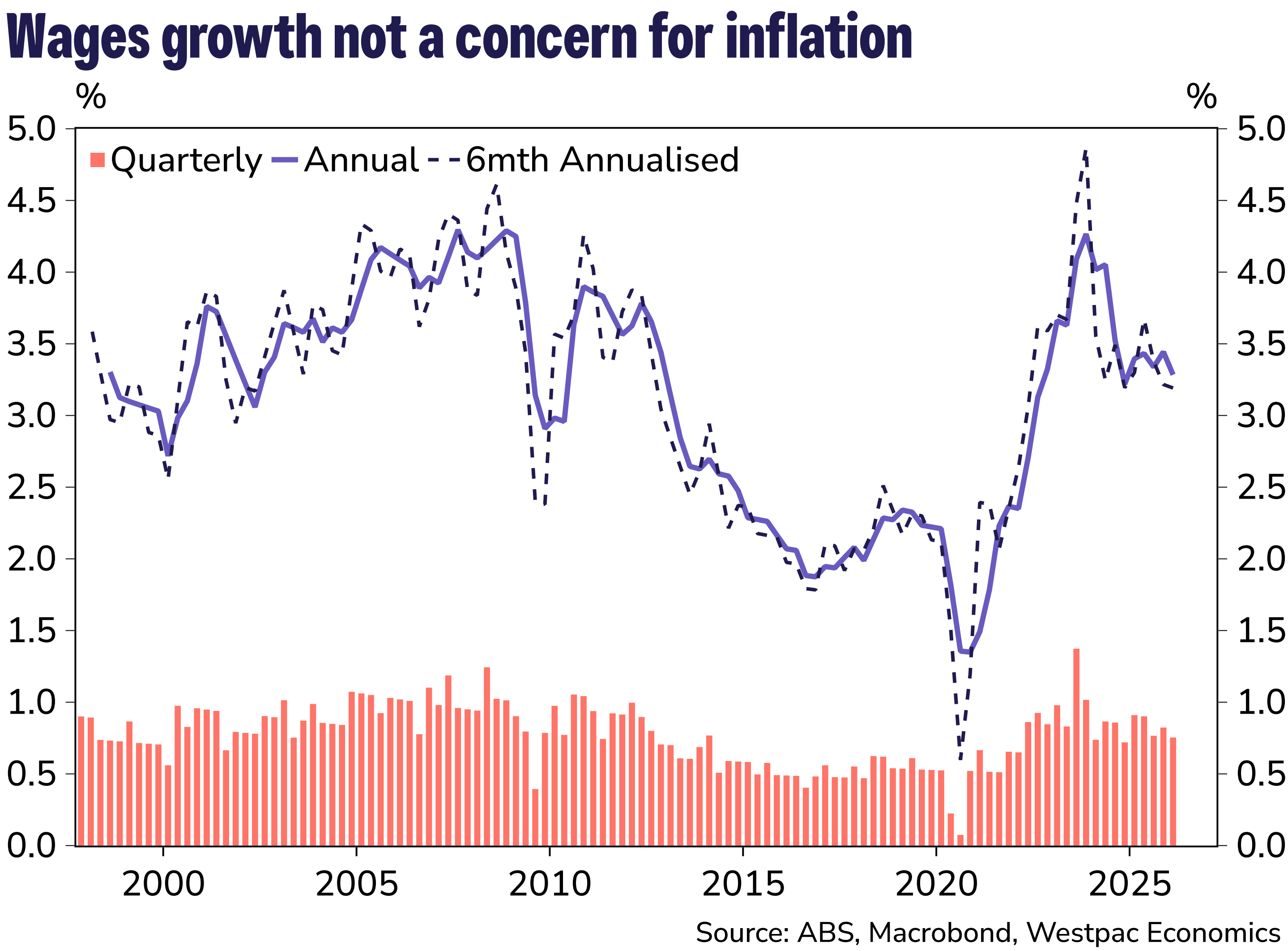
The Wage Price Index (WPI) rose 0.8% in Q1 2026, in line with Westpac's forecast and the market consensus. This was a 'thin' 0.8%, in the sense that the result was 0.75% at two decimal places, close to the rounding barrier. Revisions to seasonal factors were insignificant, so the annual pace eased back from 3.4%yr to 3.3%yr just as expected.

While the annual pace has broadly bumped around this level for the past year or so, inspecting the momentum more closely reveals that the current annual pace is actually the softest since Q4 2024 – before the bump higher in public sector wages that took place over 2025 (as discussed in more detail below).

In terms of the distribution, this slowing in wages growth is coming from a smaller share of jobs recording 'faster' wage gains. The ABS noted that only 22% of jobs recorded an annualised wage gain of more than 4% in Q1 2026, which is the lowest proportion since Q2 2022.



Wages by Sector

By sector, private wages (excl. bonuses) have continued to track a gradual downtrend. In Q1, private wages grew by 0.8%, matching the increase over the previous three quarters. However, this is still a smaller gain than a year ago, meaning the annual pace eased back from 3.4%yr to 3.2%yr, which is the slowest pace so far in the current cycle. The drop was even larger for the measure that includes bonuses (3.3%yr to 2.9%yr) – while noisier, a faster pull-back in this measure may signal that an easing momentum remains in place.

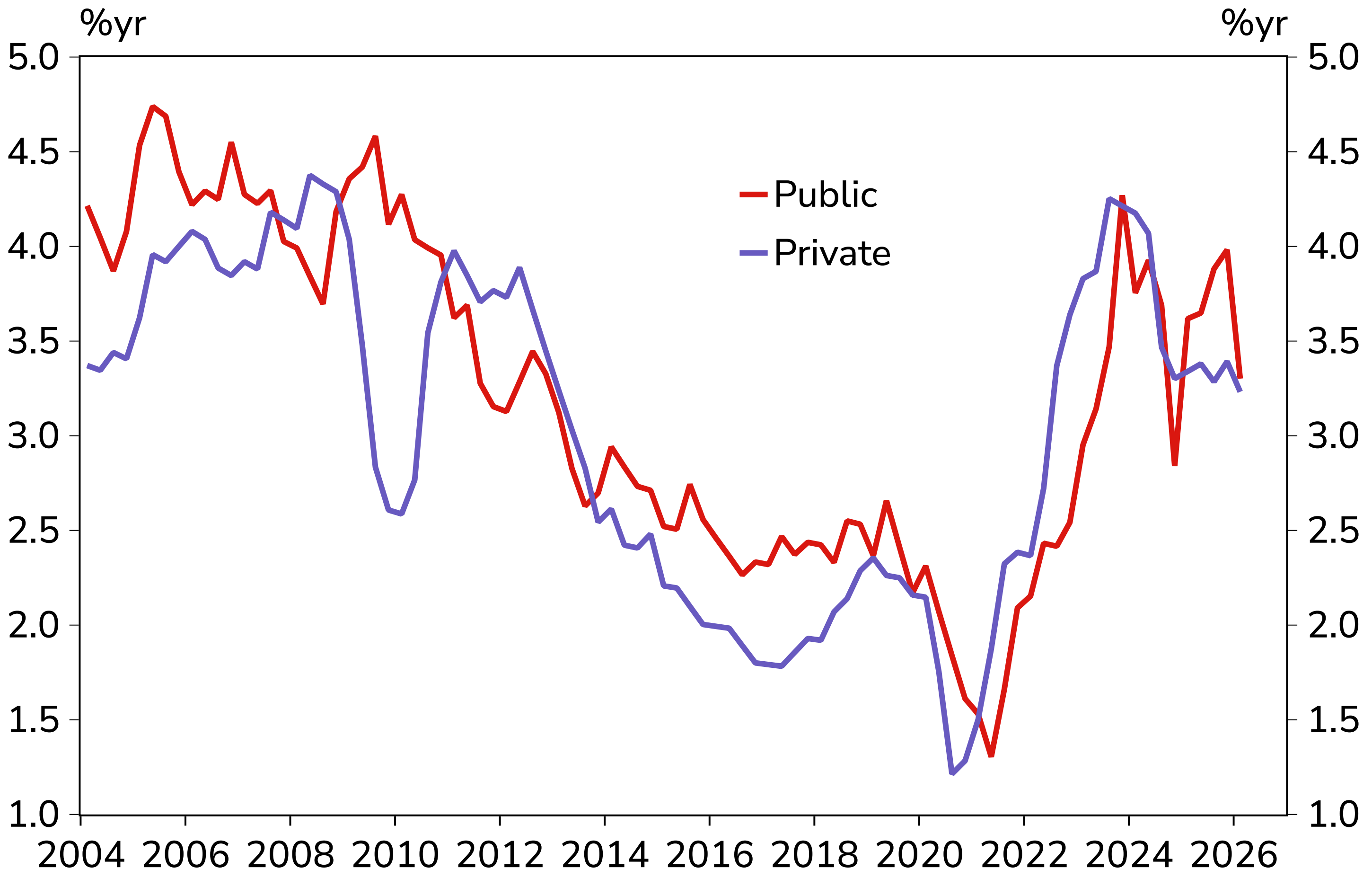
Compared to the same quarter a year ago, the private sector saw a smaller share of jobs record a wage increase (13% vs. 15%), and of those jobs, they recorded a smaller average hourly wage change (4.0% vs. 4.3%).

Meanwhile in the public sector, wages growth only gained 0.5% in Q1 2026, the smallest quarterly increase in two years. As a result, the annual growth pace dropped sharply, from 4.0%yr to 3.3%yr. This effectively closes the gap between private and public sector wages growth, after the latter bumped higher over 2025 due to state-based enterprise agreements and increases in aged care wages – with those larger gains now cycling out of the base of comparison, the annual pace of public sector wages is pulling back.

Indeed, compared to the same quarter a year ago, there was a much smaller proportion of jobs that recorded a wage increase (21% vs. 39%), and of those jobs, the average hourly wage change was also noticeably smaller (3.0% vs. 3.3%).

The earlier impact of state-based enterprise agreements can also be seen in the fact that the contribution of state governments to the latest quarterly wage increase less than half than that of a year ago (+1.1ppt vs. +0.4ppt).

Gap between public and private closes



Source: ABS, Macrobond, Westpac Economics

Industry

Unsurprisingly, Australia’s largest employer – health care and social services – was responsible for most of the increase in quarterly wages. Recall that this is split across both the private and public sector, as many services are publicly funded but delivered by a private provider. The ABS noted that a “major Commonwealth funded initiative in the Early Childhood Education and Care workforce saw wage rises paid in the private sector for this industry, while Queensland hospital health care workers were the main driver of public growth”, similar to last quarter.

Annual wages growth is running fastest in the utilities sector (4.3%yr), although it is a fairly small employer, followed by mining, public administration and safety, and other services (3.7%yr), then health care and social assistance (3.6%yr).

Bargaining Stream

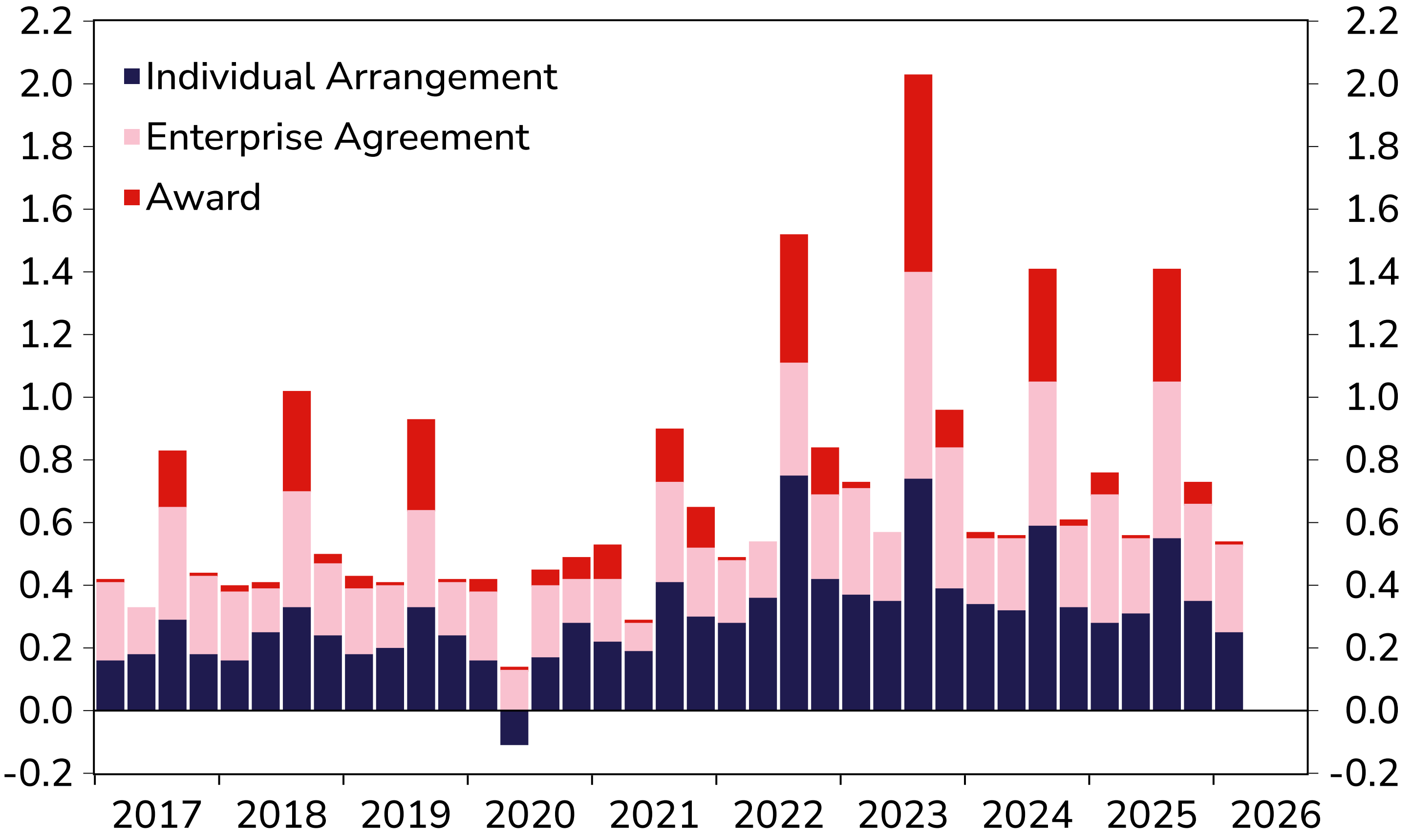
Westpac has long believed focusing on wage inflation by wage bargaining stream can help to understand how wages respond to the economic cycle. Long term readers would know that the Australian labour market is split into three categories of pay setting methods:

- Awards,
- Enterprise agreements, or
- Individual arrangements.

In original terms, the WPI lifted 0.6% in Q1. The largest share of Australian wage adjustments tends to occur in the September quarter, with July being the start of the new financial year. The following data is reported in original (not seasonally adjusted) terms.
Of the 0.6% increase in the WPI, jobs covered by enterprise arrangements made the largest contribution at 0.28ppt, compared to 0.25ppt for individual arrangements and 0.01ppt for awards. With most individually arranged pay setting occurring in the private sector, this stream has an outsized influence on private sector wages.

Contributions to Quarterly WPI Growth

By pay setting arrangement in ppt in original terms



Source: ABS, Macrobond, Westpac Economics

Overall, the update came in broadly in line with our expectations. Growth in private sector wages has continued to moderate gradually, while growth in public sector wages has eased back following some larger gains over last year. While the RBA pointed to the labour market as a key source of inflationary risk in recent quarters, the debate has now shifted with the onset of the Middle East conflict.

Higher inflation and interest rates will weigh on economic growth and bring more slack into the labour market. This should put some downward pressure on wages growth over the period ahead, but the extent to which that will materialise will partly depend on the outcome of the upcoming Fair Work Commission's (FWC) Annual Wage Review. It will impact wages growth in Q3 as adjustments are put through the start of the new financial year from 1 July. In 2025, the FWC provided a 3.5% increase, lower than the 3.75% decision in 2024 and the 5.75% decision in 2023. We are currently assuming a 4.25% increase announcement for 2026, which is embedded in our forecast for a 0.8% gain in the WPI for Q3.

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